

Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

COMPANY PROFILE

Tesla designs, manufactures and sells electric vehicles alongside an Energy Generation and Storage business comprising Megapack and Powerwall battery systems and solar products. The company reports two operating segments — Automotive and Energy Generation and Storage — while pursuing separate, capital-intensive growth initiatives in autonomous driving software (Full Self-Driving), robotaxi ride-hailing services, and Optimus humanoid robotics, none of which are yet separately disclosed as reportable revenue lines.

RECOMMENDATION

BUY

12-month horizon

CURRENT PRICE

307.95 USD

as of report date

TARGET PRICE

378.50 USD

12-month fundamental

IMPLIED UPSIDE

+22.9%

vs. current price

MARKET CAP

USD 1,567.1 bn

shares × price

ENTERPRISE VALUE

USD 1,573.2 bn

mcap + net debt

P/E 2026E

239.4×

EV/EBITDA 2026E

85.2×

FCF YIELD 2026E

-0.1%

DIVIDEND YIELD
2026E

—

NET DEBT / EBITDA
2026E

-0.4×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION BUY 12-month horizon	TARGET PRICE 378.50 USD 12-month fundamental	CURRENT PRICE 307.95 USD as of report date	IMPLIED UPSIDE +22.9% vs. current price
MARKET CAP USD 1,567.1 bn shares × price	ENTERPRISE VALUE USD 1,573.2 bn mcap + net debt	P/E · EV/EBITDA 2026E 239.4x · 85.2x history + peers, see p. 18–19	FCF · DIV YIELD 2026E -0.1% · —

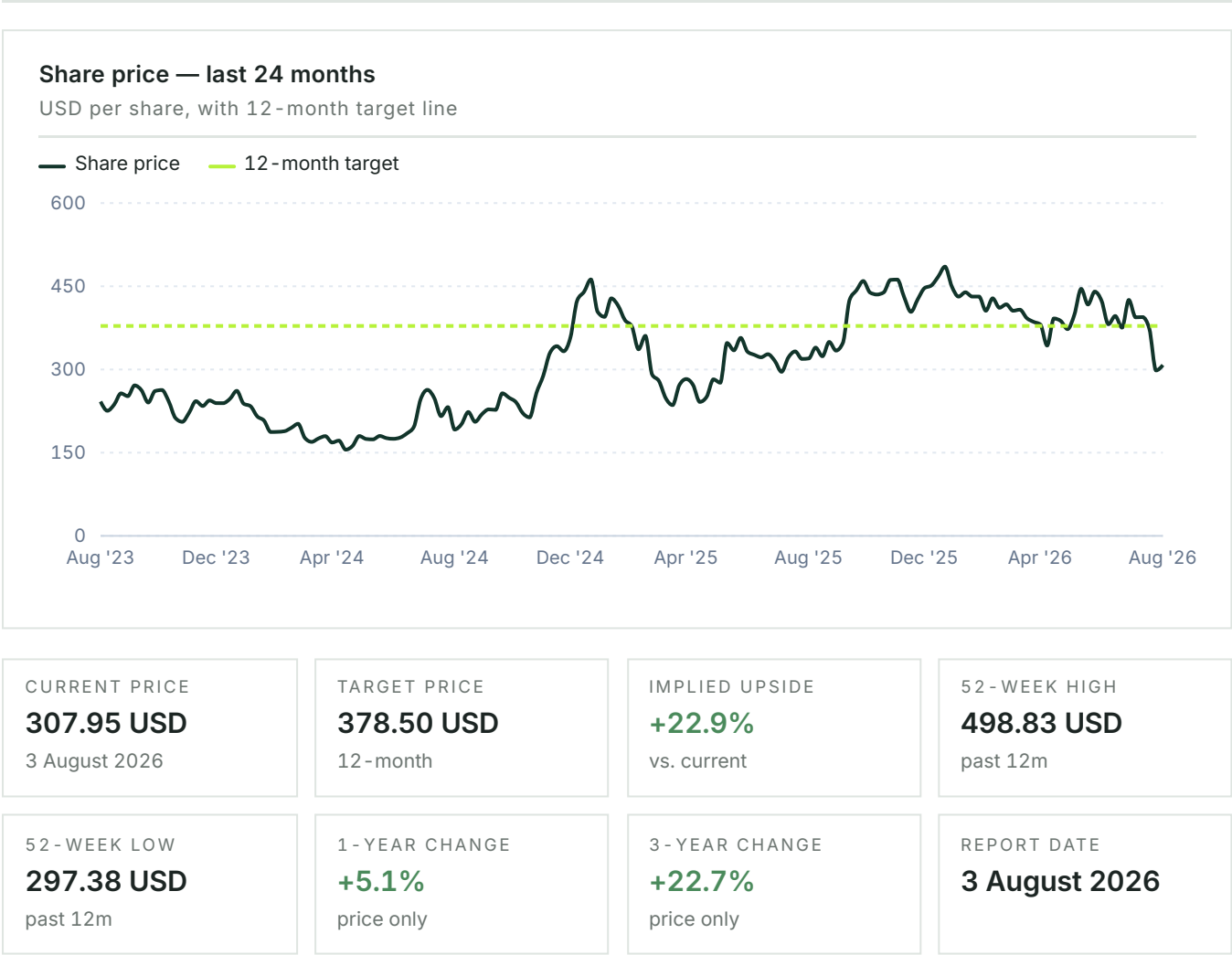
01 Core Capex Peak Rolling Off Group EBIT is projected to rise from USD 4,355m in 2025 to USD 16,303m by 2028E as the USD 19,488m 2026E capex peak rolls off, driving the operating leverage that underpins the 30.0x core EBIT multiple in our target price. USD 16,303m	02 Massive Autonomy Option Value Autonomy currently generates zero revenue but requires 55.06bn annual paid miles, about 400 times Waymo's roughly 150m, to justify its USD 550.6bn EV allocation, a gap that explains the bulk of the USD 944bn option-value component in our SOTP. 55.06bn miles	03 Implied Software Certainty The market prices Tesla's USD 1,573.2bn EV at 273.8x 2026E EBIT versus a peer median of 22.4x, implying near-certainty for Autonomy and Optimus that our 30.0x core multiple plus option value only partially supports, which is why we set the target above the current quote. 273.8x
THESIS BREAKER The case breaks if paid autonomous miles remain below the 55.06bn required threshold or the Optimus fleet stalls under 1.96m units by 2028, collapsing the EV toward the USD 400bn bear case.		

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12-month target price, alongside key market data.



VALUE BREAKDOWN · PART 1

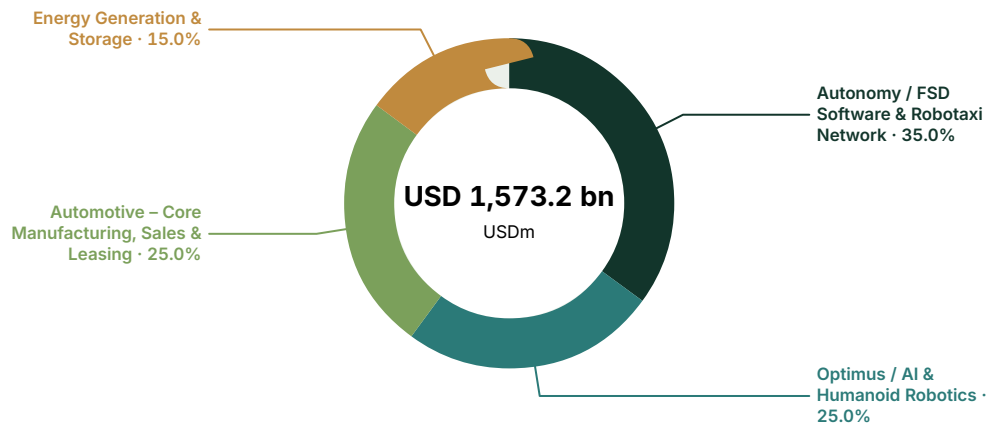
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

USD millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. Business divisions may differ from company - reported accounting segments.

	EV	EV %	REVENUE	REV %	GROSS PROFIT	GROSS PROFIT %	BASIS
Autonomy / FSD Software & Robotaxi Network	550,632	35.0%	0	0.0%	0	0.0%	Modelled allocation
Optimus / AI & Humanoid Robotics	393,308	25.0%	0	0.0%	0	0.0%	Modelled allocation
Automotive – Core Manufacturing, Sales & Leasing	393,308	25.0%	82,056	86.5%	13,292	77.8%	Reported
Energy Generation & Storage	235,985	15.0%	12,771	13.5%	3,802	22.2%	Reported
Total	1,573,233	100.0%	94,827	100.0%	17,094	100.0%	—

VALUE BREAKDOWN · PART 2

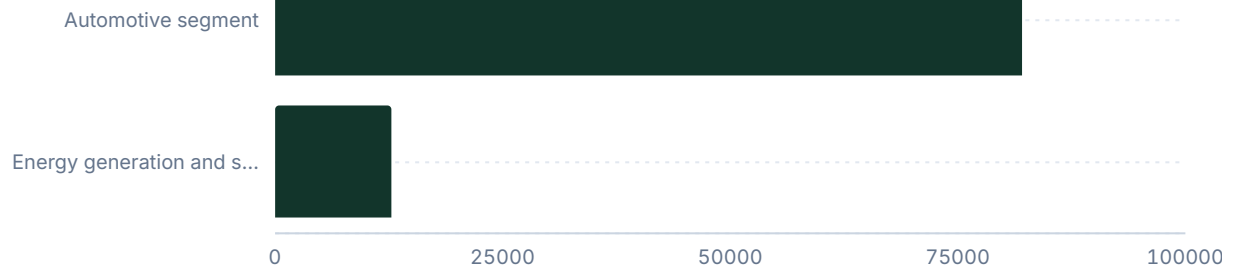
Revenue and profit by reported segment

05

Where the group's revenue and reported profit metric originate, by the company's own reported segments. Chart headings state the disclosed sales basis.

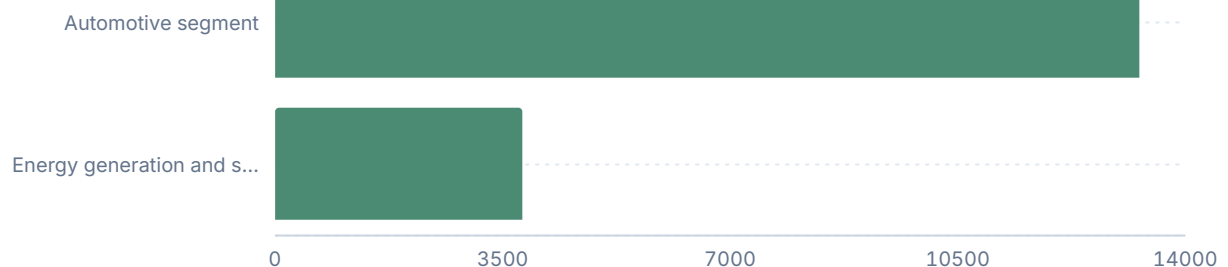
External sales by reported segment

USD millions, FY2025A



Gross profit by reported segment

USD millions, FY2025A



INTERPRETATION

The EV allocation is dominated by future optionality rather than current earnings. Autonomy and Optimus together account for 60% of the EV despite generating zero current revenue, showing a wide gap between Tesla's current operating economics and market pricing.

VALUE BREAKDOWN · ANALYTICAL VIEW

Where value sits versus where money is earned

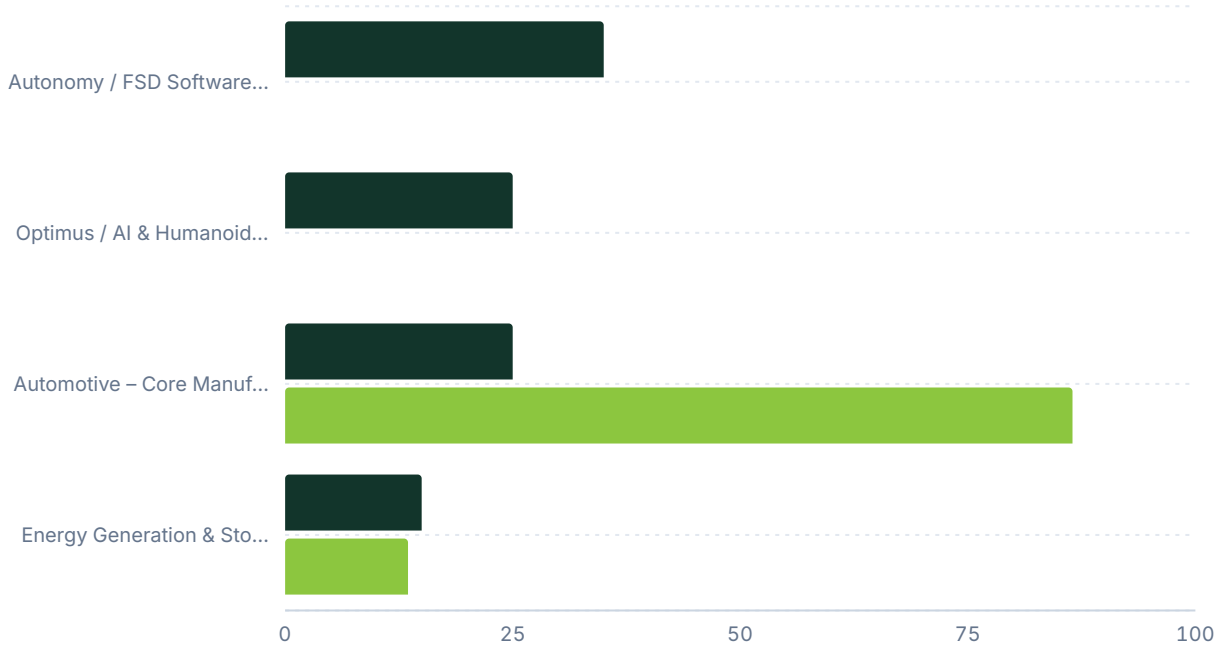
Each business division's share of enterprise value against its share of group revenue.
A division holding value it does not yet earn is where the valuation rests on the future;
the full figures are in the allocation table on the previous page.

05B

Share of enterprise value vs share of revenue

Per cent of group total · modelled allocation

■ Share of EV ■ Share of revenue



RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

DATA QUALITY NOTICE: Current corporate events could not be fully source-verified and were omitted from the verified event layer. One or more analytical value pools may combine businesses with different valuation drivers and require analyst review.

Tesla is currently trading at USD 307.95, and our SOTP-based target of USD 378.50 implies roughly 22.9% upside, supporting a BUY rating over the next 12 months. The single most important re-rating variable for Tesla is whether Autonomy and Optimus convert from pre-revenue R&D into commercially billed miles and units.

Group EBIT is projected to rise from USD 4,355m in 2025 to USD 16,303m by 2028E as the USD 19,488m 2026E capex peak rolls off. This operating leverage underpins the 30.0x core EBIT multiple in our target price. Automotive contributed 86.5% of 2025 revenue at a 16.2% gross margin and is allocated 25% of EV, while Energy Storage installed 46.7GWh, capturing a 29.8% gross margin and 15% of EV.

The market prices Tesla's USD 1,573.2bn EV at 273.8x 2026E EBIT, implicitly assuming near-certain success for the USD 944bn Autonomy and Optimus allocation. Autonomy currently generates zero revenue but requires 55.06bn annual paid miles to justify its USD 550.6bn EV allocation, while Optimus needs roughly 1.96m active units generating USD 10,000 RaaS margins each.

BUY

TARGET PRICE

378.50 USD

CURRENT PRICE

307.95 USD

IMPLIED UPSIDE

+22.9%

12 - MONTH VIEW

Tesla requires unprecedented commercial scale in pre-revenue Autonomy and Optimus divisions to validate its valuation, while its core Automotive and Energy segments fund near-term AI capital expenditures.

MAIN DRIVER

Transition to software networks and autonomous labor.

MAIN RISK

Regulatory block on unsupervised FSD or delay.



01 Core Capex Peak Rolling Off

Group EBIT is projected to rise from USD 4,355m in 2025 to USD 16,303m by 2028E as the USD 19,488m 2026E capex peak rolls off, driving the operating leverage that underpins the 30.0x core EBIT multiple in our target price.

USD 16,303m

02 Massive Autonomy Option Value

Autonomy currently generates zero revenue but requires 55.06bn annual paid miles, about 400 times Waymo's roughly 150m, to justify its USD 550.6bn EV allocation, a gap that explains the bulk of the USD 944bn option-value component in our SOTP.

55.06bn miles

03 Implied Software Certainty

The market prices Tesla's USD 1,573.2bn EV at 273.8x 2026E EBIT versus a peer median of 22.4x, implying near-certainty for Autonomy and Optimus that our 30.0x core multiple plus option value only partially supports, which is why we set the target above the current quote.

273.8x

THESIS BREAKER

The case breaks if paid autonomous miles remain below the 55.06bn required threshold or the Optimus fleet stalls under 1.96m units by 2028, collapsing the EV toward the USD 400bn bear case.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Tesla's \$1.57 trillion enterprise value shows a wide gap between current operating economics and market pricing. The company generates 100% of its reported revenue and gross profit from just two segments: Automotive and Energy Generation & Storage. Yet these two current profit engines account for only 40% of the allocated enterprise value under a normalized sum-of-the-parts framework. The remaining 60% of enterprise value (\$943.9 billion) is assigned to Autonomy/FSD and Optimus AI Robotics — two emerging options that produce zero standalone commercial revenue today.

The \$1,573,233 million group enterprise value bridges to the \$1,567,112 million equity market capitalization via a 2026 expected net cash position of \$6,879 million, offset by an implied \$13,000 million in other senior claims. Because Tesla does not report segment-level EBIT or allocate operating expenses (SG&A, R&D) to its operating divisions, this analysis relies on reported gross profit for the current businesses. Group EBIT for 2025 was highly compressed at 4.6% (\$4,355 million), showing that current earnings alone cannot mathematically support a \$1.57 trillion valuation at any conventional multiple.

This allocation framework shows that an investment in Tesla is predominantly a venture-scale call option on artificial intelligence, robotics, and autonomous networks, cross-subsidized by a mature but margin-compressed automotive manufacturer and a rapidly scaling battery storage business. The key valuation question is not whether Automotive margins recover by 100 or 200 basis points, but whether the required commercial scale for Autonomy and Optimus is physically and competitively achievable.

ANALYTICAL ANCHOR

Because 60% of the EV sits in these pre-scale divisions, they need the deepest analytical scrutiny.

08

Autonomy / FSD Software & Robotaxi Network

Business division deep dive — Emerging option.

The market values Autonomy as a fundamental business model shift. By replacing human driving labor with software, Tesla would move from an asset-heavy, cyclical hardware manufacturer to a high-margin, high-return software network. If Tesla can operate a global ride-hailing network with minimal human intervention, it captures the per-mile revenue currently paid to Uber drivers, but at software-like marginal costs. The \$550 billion valuation reflects the expectation that Tesla will secure a dominant platform take-rate across a material share of global vehicle miles traveled, capturing both fleet ownership economics and software licensing fees.

The addressable market for autonomous ride-hailing is vast but gated by localized regulatory approval. In the United States alone, light-duty vehicles log approximately 3 trillion miles annually. A hypothetical 1% capture of U.S. VMT represents 30 billion miles. Demand elasticity in the mobility sector is proven: if the per-mile cost to consumers drops structurally below the cost of human-driven ride-hailing (currently roughly \$2.00 to \$2.50 per mile in the U.S.), adoption is likely to surge, substituting for private vehicle ownership. However, the market is fragmented by city-level operating design domains (ODDs) and strict state-by-state regulatory thresholds.

Tesla is currently losing the commercial, paid-driverless robotaxi race to Waymo and Baidu. Waymo is the established leader in the U.S., operating approximately 3,800 vehicles, delivering 500,000 paid rides per week, and logging over 200 million fully autonomous miles. Baidu Apollo Go dominates China with over 17 million cumulative rides and per-vehicle profitability reported in select cities. Tesla's economic moat relies entirely on its end-to-end, vision-only architecture. Waymo's vehicles are heavily instrumented, with a sensor suite estimated at up to \$100,000, which limits the pace of geographic expansion and capital returns. Tesla is betting that its global fleet of consumer vehicles will generate the training data needed to solve generalized autonomy without LIDAR, letting it deploy a \$30,000 Cybercab anywhere in the world.

AUTONOMY / FSD
SOFTWARE & ROBOTAXI
NETWORK FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

REQUIRED ANNUAL PAID MILES

55.06 billion

IMPLIED ACTIVE FLEET

~1.0 million Cybercabs

CURRENT CUMULATIVE MILES

1.7 million (Q1/26)

TARGET PRICE PER MILE

<\$0.50 (Cybercab)

LATEST REGULATORY EVENT

Unverified April 2026
volume prod.

08

Autonomy / FSD Software & Robotaxi Network (continued)

Business division deep dive — Emerging option.

The unit economics of a robotaxi network depend on vehicle depreciation, operating costs (charging, cleaning, maintenance, insurance), and network pricing. A \$40,000 Cybercab depreciated over 300,000 miles carries a base hardware depreciation cost of ~\$0.13 per mile. Adding power, maintenance, and insurance yields a physical operating floor of roughly \$0.35 to \$0.40 per mile. If Tesla charges the consumer \$1.00 per mile, the network generates a gross margin of \$0.60 per mile. This margin profile is attractive, but it needs enormous volume to move the needle on a \$1.57 trillion enterprise value. Tesla must also decide whether to hold the fleet on its balance sheet or franchise the vehicles to operators.

The bridge logic is mathematically sound but demands execution at a scale entirely disconnected from Tesla's current autonomy baseline. The valuation logic itself is generous: a 20x EBIT multiple is appropriate if Tesla operates as an asset-light software franchisor. On feasibility, generating 55 billion paid miles annually requires scaling to a level equivalent to more than half of Uber's global mobility business. By comparison, Waymo's 500,000 rides per week translates to roughly 130 to 150 million miles annually. Tesla's implied valuation requires it to out-scale Waymo's current commercial output by a factor of 400.

The gap to required economics is extreme. To support the allocation, required annual paid miles stand at 55.06 billion. The economic output produced by the stated bridge was just 1.7 million cumulative paid miles reported as of Q1 2026. Closing the gap requires unsupervised regulatory approval across major U.S. states, successful scaling of the Cybercab hardware, launch and mass adoption of the Tesla ride-hailing consumer app, and favorable debt financing if Tesla retains the vehicles on its balance sheet.

AUTONOMY / FSD
SOFTWARE & ROBOTAXI
NETWORK FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

REQUIRED ANNUAL PAID MILES

55.06 billion

IMPLIED ACTIVE FLEET

~1.0 million Cybercabs

CURRENT CUMULATIVE MILES

1.7 million (Q1/26)

TARGET PRICE PER MILE

<\$0.50 (Cybercab)

LATEST REGULATORY EVENT

Unverified April 2026
volume prod.

08

Autonomy / FSD Software & Robotaxi Network (continued)

Business division deep dive — Emerging option.

Over the next 12 to 24 months, Tesla must achieve uncrewed regulatory approval in at least one major U.S. metropolitan area and put the Cybercab into commercial service. The market needs evidence of unit economics — specifically, the actual cost per mile to run the Cybercab network, and the insurance liability structure. Without a shift from supervised miles to paid, driverless, commercially billed miles, the \$550 billion EV allocation will eventually face severe multiple contraction.

The valuation is plausible but demanding. The theoretical unit economics of vision-based autonomy are far superior to human-driven ride-hailing, giving a credible path to the required \$27.5 billion in EBIT if the technology is generalized. However, the market is pricing this outcome with a high degree of certainty despite zero evidence of commercial, paid, driverless scale on par with existing competitors.

AUTONOMY / FSD SOFTWARE & ROBOTAXI NETWORK FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

REQUIRED ANNUAL PAID MILES

55.06 billion

IMPLIED ACTIVE FLEET

~1.0 million Cybercabs

CURRENT CUMULATIVE MILES

1.7 million (Q1/26)

TARGET PRICE PER MILE

<\$0.50 (Cybercab)

LATEST REGULATORY EVENT

**Unverified April 2026
volume prod.**

ROBOTAXI NETWORK COMPETITOR SCALE & ECONOMICS (2026)

OPERATOR	COMMERCIAL STATUS	SCALE METRIC	EST. PRICE / MILE
Waymo (Alphabet)	Live in 10+ US metros	~500k paid rides/wk	\$2.25 - \$2.85
Baidu Apollo Go	Live in 20+ CN cities	~350k paid rides/wk	\$0.80 - \$1.50
Tesla	Pre-commercial	1.7m cumulative mi	Target <\$0.50

08

Optimus / AI & Humanoid Robotics

Business division deep dive — Emerging option.

If Autonomy is a call option on displacing driving labor, Optimus is a call option on displacing general physical labor. The global manufacturing, logistics, and intralogistics labor pool represents trillions of dollars in annual wages. The market values Optimus as a highly scalable hardware vessel for Tesla's real-world AI engine. Investors are projecting that the same neural network architecture used for FSD can be adapted to bipedal robotics, letting Tesla manufacture laborers at a marginal cost of \$20,000 each, capturing software-like gross margins on physical work.

The commercial humanoid robot market is currently in a nascent, pilot-heavy phase. Market estimates for 2026 suggest a total hardware TAM of approximately \$4 billion to \$5 billion, driven mainly by automotive and warehouse intralogistics. The expanded addressable market, however, is functionally unlimited if the robots achieve broad dexterity and spatial reasoning. Current deployment volumes are in the low thousands globally. Demand will stay constrained until hardware reliability (specifically actuator lifespan and battery endurance) allows multi-shift continuous operation without human intervention.

Tesla's competitive position relies on its unmatched manufacturing capacity. While Figure AI has secured important external validation by operating billable hours at BMW's Spartanburg plant, Tesla is testing roughly 1,000 Optimus units inside its own factories. Tesla's moat is not first-mover advantage but vertical integration: it designs its own actuators, battery packs, and inference silicon (AI5). If the software threshold is crossed, Tesla is theoretically the only company able to immediately scale to millions of units per year, using the same supply chain that builds its vehicles.

The economic viability of a humanoid robot depends on its total cost of ownership versus fully burdened human labor. At a target price of \$20,000 to \$30,000, and assuming a 3-year useful life, hardware depreciation runs roughly \$10,000 per year. If Tesla sells the robot for \$30,000, it might capture \$10,000 in upfront gross profit. The more likely and lucrative model, though, is Robot-as-a-Service (RaaS), where Tesla retains ownership and bills \$15,000 to \$20,000 annually for the robot's output. This model turns a hardware sale into a recurring software revenue stream, yielding substantial operating leverage.

OPTIMUS / AI & HUMANOID
ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

REQUIRED ACTIVE FLEET

1.96 million units

CURRENT VERIFIED
DEPLOYMENTS

~1,000 units (internal)

HARDWARE TARGET PRICE

\$20k - \$30k

08

Optimus / AI & Humanoid Robotics (continued)

Business division deep dive — Emerging option.

Sanity checking the bridge logic reveals a huge industrial task. The value-creation logic implies Target EBIT equals Active Fleet multiplied by Annual RaaS Margin. To support the \$393.3 billion allocation at a 20x terminal multiple, Tesla must achieve \$19.66 billion in annual EBIT. Scaling a new hardware product to roughly 1.96 million active commercial units is extraordinary; Tesla currently produces fewer than 2 million automobiles annually. Building 2 million bipedal robots requires an entirely new, unproven supply chain for high-torque rotary and linear actuators.

The gap to required economics shows just how venture-like this valuation is. The required active fleet stands at approximately 1.96 million units, compared to an economic output of 0 external commercial deployments and \$0 revenue today. To close this gap, Tesla must finalize the Gen 3 design and start volume manufacturing (targeted Summer 2026), prove 4,000-hour mean time between failure (MTBF) for actuators in real-world industrial settings, and move from internal testing to external, billable commercial pilot programs.

Tesla must move Optimus from a controlled internal asset to an externally validated commercial product. Investors should watch for the Summer 2026 production start and look for clarity on external pricing and service models. A material delay in external deployments, or evidence of poor actuator durability requiring heavy maintenance capex, would rapidly erode this \$393 billion allocation.

The valuation is highly speculative. While the mathematical model for humanoid labor replacement is compelling, the \$393 billion EV allocation requires flawless execution across hardware design, mass manufacturing, and artificial intelligence at the same time. The market is pricing in a late-stage growth success for an asset that has not yet booked its first external dollar of revenue.

OPTIMUS / AI & HUMANOID
ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

REQUIRED ACTIVE FLEET

1.96 million units

CURRENT VERIFIED
DEPLOYMENTS

~1,000 units (internal)

HARDWARE TARGET PRICE

\$20k - \$30k

HUMANOID ROBOTICS COMPETITOR COMPARISON (2026)

COMPETITOR	COMMERCIAL STATUS	VERIFIED DEPLOYMENTS	PRICE / OPEX
Figure AI (Figure 02)	Commercial pilot	1,250+ hrs (BMW)	~\$25/hr opex
Unitree (G1)	Publicly available	Broadly distributed	\$16,000 price
Tesla (Optimus Gen 3)	Internal testing	~1,000 units	\$20k - \$30k tgt

08

Automotive – Core Manufacturing, Sales & Leasing

Business division deep dive — Profit engine.

Automotive generated \$82,056 million in net sales in FY2025 (86.5% of total) and \$13,292 million in reported segment gross profit (77.8% of total, a 16.2% gross margin). The division is allocated \$393,308 million of EV (25.0%), reflecting a steep premium to traditional automakers but still a minority of Tesla's total value.

The core automotive business is currently defending its market share against fierce price competition, particularly from BYD, which has used structural cost advantages in battery manufacturing to pressure global pricing. Tesla's 2025 auto gross margin of 16.2% represents a significant compression from its historical peaks, driven by aggressive price cuts needed to sustain factory utilization amid a global EV demand slowdown, shown by the 8.6% year-over-year delivery decline in 2025.

The \$393.3 billion allocation implies a multiple of approximately 29.5x 2025 Automotive Gross Profit. Because Tesla's unallocated operating expenses are substantial, the implied EV/EBIT multiple for the automotive division alone is far higher than legacy peers like GM, and significantly above pure-play EV peers like Rivian (which remains sub-scale and loss-making).

This valuation requires a swift reversal of delivery declines and a structural cost reset. It depends heavily on Tesla's next-generation, low-cost platform unlocking elastic demand in the sub-\$30,000 price tier.

Until unit volumes return to double-digit growth, the core auto multiple remains fragile. Stabilizing these hardware cash flows is essential — not just for the automotive multiple, but to fund the capital-intensive AI infrastructure needed for the autonomy and robotics divisions.

AUTOMOTIVE – CORE
MANUFACTURING, SALES
& LEASING FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 82,056m

FY2025A GROSS PROFIT

USD 13,292m

2025 DELIVERY VOLUME

-8.6% YoY

IMPLIED EV MULTIPLE

~29.5x 2025 Gross Profit

PRIMARY COMPETITOR

BYD

08

Energy Generation & Storage

Business division deep dive — Scaling.

Energy Generation & Storage generated \$12,771 million in net sales in FY2025 (13.5% of total) and \$3,802 million in reported segment gross profit (22.2% of total, a 29.8% gross margin). The division is allocated \$235,985 million of EV (15.0%).

Tesla's energy storage business is the highest-margin, fastest-growing reported segment within the company. With 46.7 GWh installed in 2025 (a nearly 50% year-over-year increase), the Megapack product is capitalizing on a structural upswing in grid stabilization demand and the surging electricity needs of artificial intelligence data centers (AIDC). The global Battery Energy Storage System market is projected to reach between \$55 billion and \$65 billion in 2026, positioning Tesla to capture outsized economics.

The \$236 billion EV allocation values this segment at roughly 62x 2025 segment Gross Profit. While expensive on the surface, this multiple is partly justified by the segment's superior 29.8% gross margins and aggressive scaling trajectory, supported by the new Megapack 3 factory in Houston, Texas.

If Automotive margins stay compressed below 18%, Energy is mathematically positioned to become the main driver of recurring group cash flow by the end of the decade, providing critical balance-sheet support for the capital-intensive Autonomy and Optimus programs.

Maintaining delivery scale against supply constraints and potential tariff exposure remains the central execution risk for the division as it bridges the company toward its software-margin future.

ENERGY GENERATION & STORAGE FACT SHEET

SCALING

FY2025A REVENUE

USD 12,771m

FY2025A GROSS PROFIT

USD 3,802m

2025 INSTALLED CAPACITY

46.7 GWh (+50% YoY)

IMPLIED EV MULTIPLE

~62x 2025 Gross Profit

KEY SCALING DRIVER

Megapack 3 (Houston)

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

The near-term consensus forecast depends almost entirely on the Automotive business stabilizing and Energy Storage scaling quickly. It does not require material revenue contributions from Autonomy or Optimus. The sharp expected jump in EBIT to \$16.3 billion by 2028 comes from a return to top-line growth (15.5% in 2027, 16.8% in 2028) combined with operating leverage, as the heavy \$19.4 billion capex burden in 2026 (earmarked for compute, AI, and robotics infrastructure) stabilizes.

This bridge, however, points to the central vulnerability in the investment case. Near-term cash flows are supported by credible, observable business lines (EVs and Megapacks), but generating \$16.3 billion in EBIT by 2028 only justifies a fraction of the \$1.57 trillion enterprise value. The forecast bridge and the valuation bridge are disconnected from each other.

For the stock price to hold, the market must keep capitalizing 2030+ optionality today. If core cash flows from Auto and Energy falter, the balance sheet's capacity to fund the AI capex needed for Autonomy and Optimus will weaken sharply.

BRIDGE MECHANICS

If core cash flows from Auto and Energy falter, the balance sheet's capacity to fund the AI capex needed for Autonomy and Optimus will weaken sharply.

The \$1,573.2 billion enterprise value depends overwhelmingly on future optionality. Using a generous 25x EBIT framework, the 2026E group EBIT of \$5,746 million would support roughly \$143 billion in enterprise value — less than 10% of the current trading level.

Even looking forward to the 2028E EBIT of \$16.3 billion, a 25x multiple yields just \$407 billion in EV, roughly matching the combined analytical allocations for the core Auto and Energy divisions.

This reality check confirms that the remaining \$943.9 billion in enterprise value (and, after net cash and senior claims, the \$1,567.1 billion equity market capitalization) is effectively a venture-capital valuation applied to a mature public company.

The implied economics require Tesla to invent, scale, and dominate two completely new, asset-light, software-margin hardware networks by the end of the decade.

The valuation only holds up if one assigns a high probability of success to both Robotaxi and Optimus. The most fragile assumption is the timeline: because the valuation leans so heavily on duration, any regulatory or engineering delay in Autonomy or Robotics will sharply raise the effective discount rate, collapsing the present value of those options.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The scenarios differ strictly on whether the emerging options succeed or fail. In the Bear scenario, regulators block unsupervised FSD and Optimus proves incapable of mass commercial deployment, so the optionality premium evaporates. Tesla would re-rate to a standard automotive and industrial hardware multiple.

Applying a generous 30x multiple to a stagnant \$12 billion EBITDA base yields an EV of roughly \$400 billion. After deducting the implied \$13 billion in senior claims and adding back the \$6.8 billion in net cash, equity value contracts to \$394 billion, resulting in massive shareholder value destruction.

Upside depends entirely on crossing the software monetization threshold. If the Cybercab achieves national unsupervised approval by 2027 and Optimus locks in external recurring revenue contracts, the market will quickly pull forward terminal software cash flows, easily supporting an EV well above \$2.5 trillion.

The case breaks if capital intensity outpaces cash flow generation — if Tesla must spend \$30 billion a year on AI compute and fleet manufacturing without generating matching high-margin software revenue, the balance sheet will buckle under the implied senior claims and capital demands.

BOTTOM LINE

The central investment debate for Tesla is whether a \$1.57 trillion valuation can be supported by emerging software and robotics options while the core hardware business faces margin compression. The Automotive and Energy divisions, while strong and capable of generating billions in cash, cannot mathematically bridge to current market pricing on their own. The Autonomy and Optimus divisions matter most, accounting for 60% of the allocated enterprise value, yet they require unprecedented leaps in regulatory approval, mass manufacturing, and artificial intelligence to justify their implied multiples.

FINANCIAL BRIDGE · PART 1

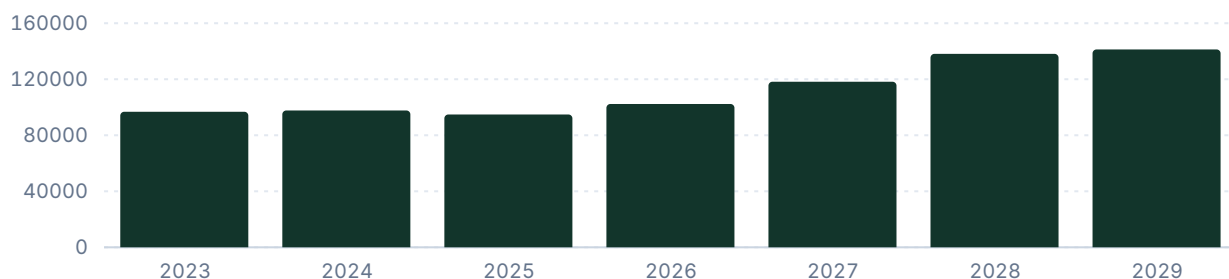
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

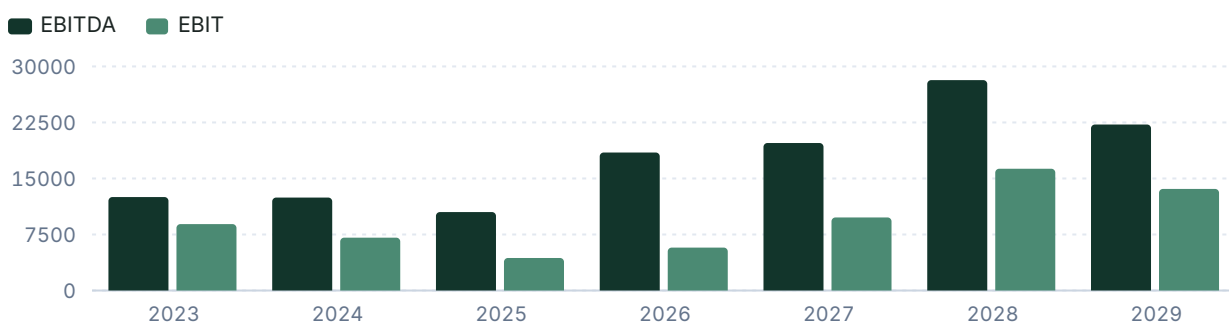
Net sales

USD millions



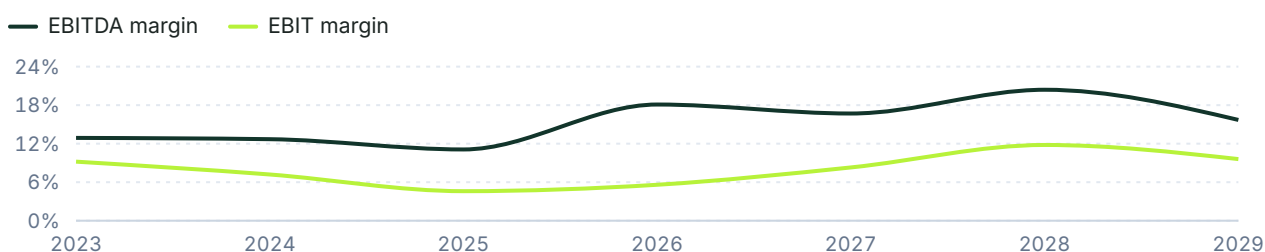
EBITDA & EBIT

USD millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

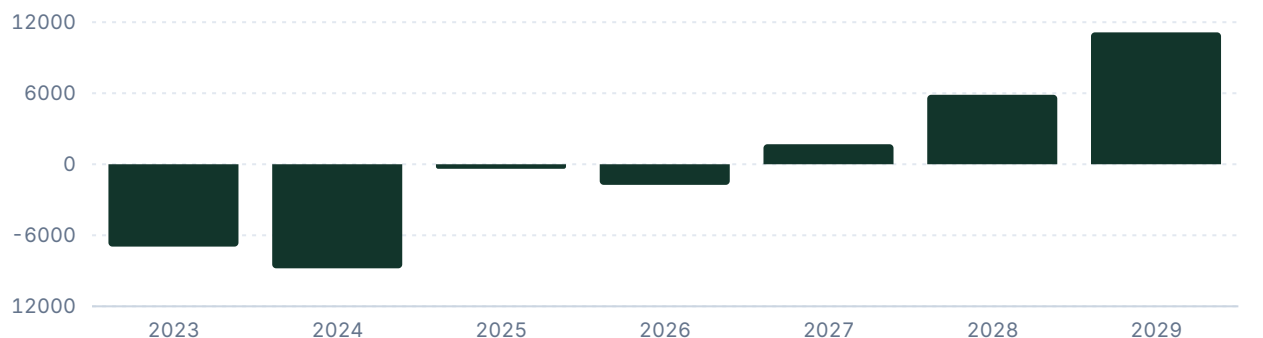
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

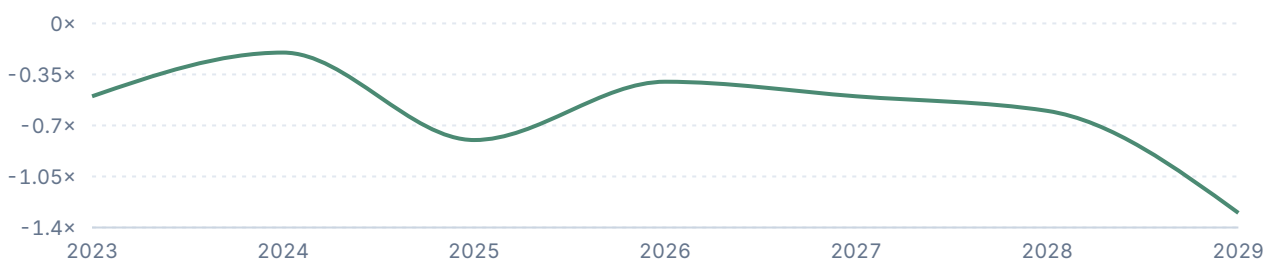
Free cash flow

USD millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	94,827	102,329	118,214	138,122	141,266
EBITDA	10,503	18,475	19,747	28,167	22,224
Comparable EBIT	4,355	5,746	9,781	16,303	13,601
Net Earnings	3,855	5,622	9,940	16,269	14,270
EPS (USD)	1.2	1.7	3.1	5	4.4
DPS (USD)	0	0	0	0	0

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

Tesla's valuation requires a Sum-of-the-Parts (SOTP) approach to blend core Auto/Energy operations with pre-revenue AI/Robotics optionality, bypassing the massive distortion in its headline multiples (e.g., 273.8x 2026e EV/EBIT). We apply a 30.0x target EV/EBIT multiple to the 2028e core EBIT of \$16.3bn, supplemented by an estimated \$944bn in optionality value for Autonomy and Optimus (constituting approximately 60% of current EV). This core multiple trades at a premium to legacy automaker General Motors (11.2x EV/EBIT) and tech-mobility peer Uber (18.3x), justified by Tesla's distinct software leverage and dominant scale in energy storage. The selected fair multiple reflects a normalized approach given the company's long-term historical 191.7x EV/EBIT average. The primary valuation risk remains slower-than-expected commercialization of the Robotaxi network and Optimus, which would directly compress the substantial optionality premium embedded in the shares.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	NORM. AVG	SELECTED FAIR MULTIPLE
P/E	763.78x	184.52x	30.57x	52.65x	180.49x	376.22x	176.98x	99.98x	61.10x	112.06x	
P/FCF	1841.87x	2055.23x	9835.96x	-113.38x	-146.87x	-3785.32x	-900.12x	926.19x	267.06x	1948.55x	
P/BV	29.62x	34.53x	8.62x	12.59x	17.71x	17.66x	13.07x	11.75x	10.08x	20.12x	
P/S	20.88x	19.37x	4.73x	8.15x	13.22x	15.29x	15.31x	13.26x	11.35x	13.61x	
EV/Sales	22.05x	20.10x	4.73x	8.20x	13.33x	15.34x	15.37x	13.31x	11.39x	13.96x	
EV/EBITDA	161.11x	114.67x	22.14x	63.46x	104.64x	138.54x	85.15x	79.67x	55.85x	100.76x	45.0x
EV/EBIT	348.72x	165.84x	28.22x	89.30x	184.02x	334.11x	273.80x	160.85x	96.50x	191.70x	30.0x (Co...
Dividend yield	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	P/BV	EBIT MARGIN	ROE	DIV YIELD
Rivian Automotive, Inc.	United States	13.7 USDbn	-2.6x	-1.7x	-6.3x	-8.1x	-57.8%	n/a	n/a
Lucid Group, Inc.	United States	4.1 USDbn	-1.7x	-3.9x	-15.1x	-2.7x	-82.8%	n/a	n/a
General Motors Company	United States	58.3 USDbn	6.2x	5.1x	6.0x	0.7x	7.3%	13.8%	n/a
Fluence Energy, Inc.	United States	855 USDm	-0.9x	-0.7x	-2.3x	-0.6x	-30.8%	n/a	n/a
Alphabet Inc.	United States	4308.1 USDbn	30.9x	26.5x	18.0x	7.9x	33.7%	29.1%	0.2%
Uber Technologies, Inc.	United States	144.8 USDbn	24.1x	18.6x	12.9x	4.4x	14.1%	20.2%	n/a
NVIDIA Corporation	United States	4071.6 USDbn	38.0x	19.4x	34.2x	29.0x	60.4%	101.5%	0.0%
Peer median		n/a	27.5x	19.0x	12.9x	4.4x	14.1%	20.2%	0.1%
Peer average		n/a	24.8x	17.4x	12.3x	4.3x	18.3%	21.1%	0.1%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
SOTP (EV/EBIT + Option Value)	2028e EBIT	16,303	30.0x (Core) + \$944B	379.92 USD	60%
EV/EBITDA	2028e EBITDA	28,167	45.0x	335.83 USD	20%
Reverse Valuation	Implied fair value	417	n/a	417.00 USD	20%
Weighted target price				378.5 USD	100%

SENSITIVITY — IMPLIED SHARE PRICE

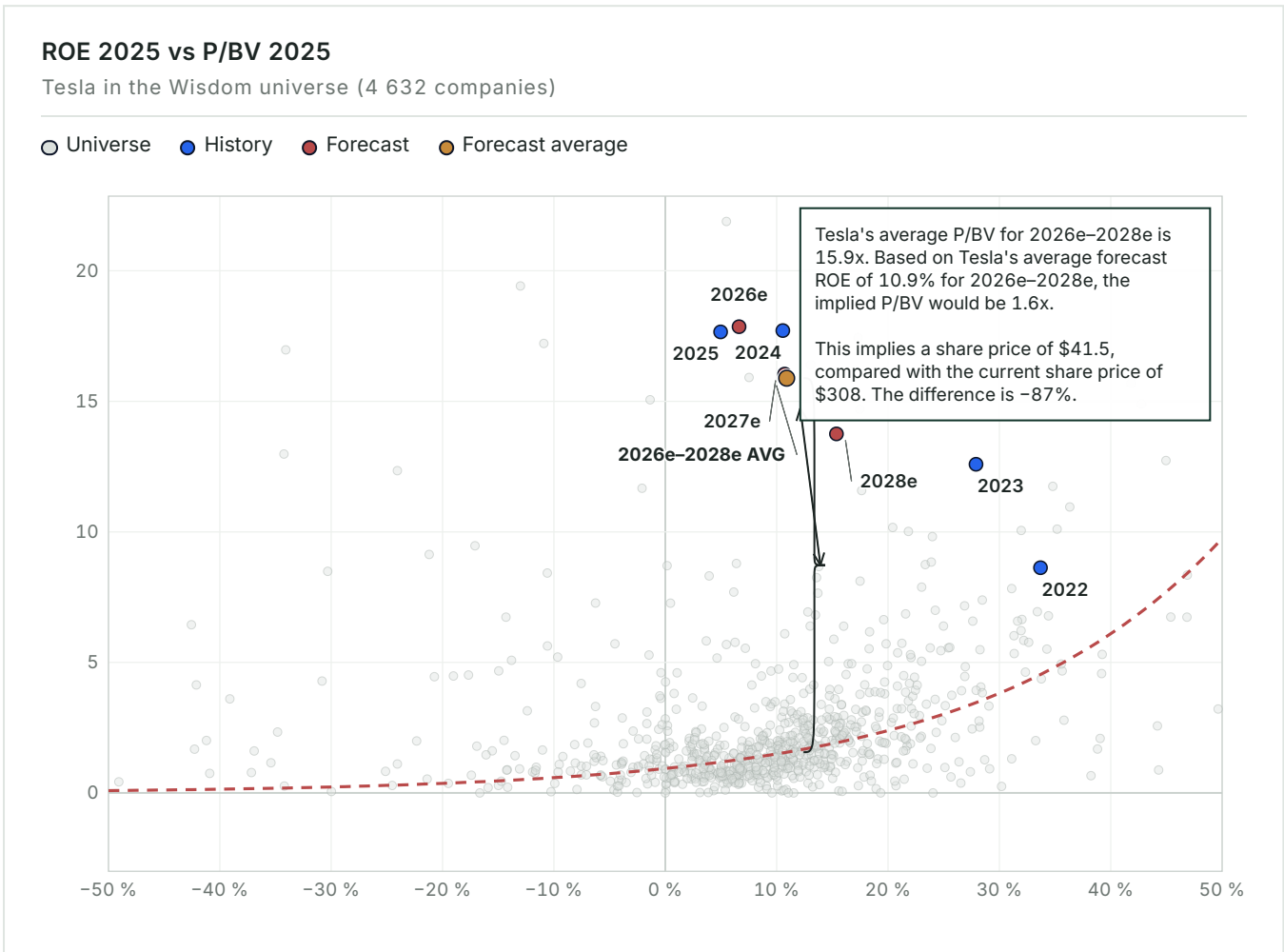
2028E EBIT (USDM)	MULTIPLE 25.0X	MULTIPLE 30.0X (BASE)	MULTIPLE 35.0X
13,042 (-20%)	336.51	353.87	371.23
14,673 (-10%)	347.37	366.90	386.43
16,303 (Base)	358.21	379.92	401.62
17,933 (+10%)	369.06	392.94	416.81
19,564 (+20%)	379.92	405.96	432.01

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Tesla sits significantly above the market's valuation curve, with a forecast average ROE of 10.9% and a P/BV of 15.9x. The universe relationship implies a share price of \$41.5 based on a typical 1.6x P/BV multiple, so Tesla's current \$308 price represents an implied difference of -87%. This means Tesla trades at a substantial premium to what the market typically pays for this level of profitability across the broader universe.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	239.4×
EV/EBITDA	85.2×
EV/EBIT	273.8×
P/FCF	-772.8×
P/BV	17.9×
Dividend Yield	—
Net Debt / EBITDA	-0.4×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV/EBITDA →	35.0×	45.0×	55.0×	65.0×	75.0×
-20% USD 14,780m	USD 517,300m USD 139.90 / sh	USD 665,100m USD 179.30 / sh	USD 812,900m USD 218.60 / sh	USD 960,700m USD 258.00 / sh	USD 1,108,500m USD 297.30 / sh
-10% USD 16,628m	USD 581,980m USD 157.10 / sh	USD 748,260m USD 201.40 / sh	USD 914,540m USD 245.70 / sh	USD 1,080,820m USD 289.90 / sh	USD 1,247,100m USD 334.20 / sh
Base USD 18,475m	USD 646,625m USD 174.30 / sh	USD 831,375m USD 223.50 / sh	USD 1,016,125m USD 272.70 / sh	USD 1,200,875m USD 321.90 / sh	USD 1,385,625m USD 371.10 / sh
+10% USD 20,323m	USD 711,305m USD 191.60 / sh	USD 914,535m USD 245.70 / sh	USD 1,117,765m USD 299.80 / sh	USD 1,320,995m USD 353.90 / sh	USD 1,524,225m USD 408.00 / sh
+20% USD 22,170m	USD 775,950m USD 208.80 / sh	USD 997,650m USD 267.80 / sh	USD 1,219,350m USD 326.80 / sh	USD 1,441,050m USD 385.90 / sh	USD 1,662,750m USD 444.90 / sh

SCENARIO VALUATION

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

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SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	100,000	12,000	12.0%	33.3×	399,960	408,097	USD 108.66	-64.7%
Base	102,329	18,475	18.1%	85.2×	1,573,146	1,581,283	USD 421.03	+36.7%
Bull	200,000	50,000	25.0%	50.0×	2,500,000	2,508,137	USD 667.82	+116.9%

KEY CONDITIONS

The scenarios differ strictly on whether the emerging options succeed or fail. In the Bear scenario, regulators block unsupervised FSD and Optimus proves incapable of mass commercial deployment. The Base scenario assumes a blended path of continued high-margin Energy storage growth with Autonomy and Optimus progressing slowly. The Bull scenario requires rapid state-by-state unsupervised FSD approvals by 2027 and Optimus reaching commercial scale, driving a terminal software multiple.

THESIS BREAKER

The case breaks if capital intensity outpaces cash flow generation or if regulatory stagnation completely strands the Cybercab platform.

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Cybercab Volume Production	NEAR-TERM	Autonomy / FSD Software & Robotaxi Network	Production commencement in April 2026	Validates low-cost hardware strategy
Unsupervised FSD State Approval	MEDIUM-TERM	Autonomy / FSD Software & Robotaxi Network	Regulatory clear in major US metropolitan market	Crucial unlock for network fleet revenue
Optimus Gen 3 Manufacturing	NEAR-TERM	Optimus / AI & Humanoid Robotics	Volume manufacturing by Summer 2026	Proves mass-manufacturing feasibility
Megapack 3 Houston Ramp	MEDIUM-TERM	Energy Generation & Storage	Sustained >25% capacity deployment growth	Secures high-margin near-term cash flow
READ - THROUGH The most critical catalyst is regulatory approval of unsupervised FSD in a major metropolitan market. Hardware milestones (like the Cybercab and Optimus Gen 3 production) are easier to observe, but hardware alone generates low margins. The regulatory unlock is what turns Autonomy from an R&D expense into a high-margin network revenue stream. Investors often misread this catalyst by conflating supervised FSD miles with paid commercial robotaxi miles; only the latter validates the \$550 billion Autonomy valuation.				

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Regulatory block on unsupervised FSD	Autonomy / FSD Software & Robotaxi Network	Tesla's vision-only system fails statistical safety thresholds required by state regulators.	Stalled localized permit approvals.	HIGH	THESIS BREAKER
Core auto margin compression	Automotive - Core Manufacturing, Sales & Leasing	Price competition from BYD outpaces Tesla's cost reduction efforts.	Delivery declines persisting into late 2026.	MEDIUM	STRUCTURAL
Optimus mechanical durability issues	Optimus / AI & Humanoid Robotics	Actuator lifespan proves inadequate for multi-shift industrial continuous operation.	Delayed external commercial pilots.	HIGH	STRUCTURAL
Capital intensity buckling balance sheet	Automotive - Core Manufacturing, Sales & Leasing	Core cash flows fail to support the AI compute capex cycle, requiring debt or dilution.	Negative free cash flow dragging beyond 2026.	MEDIUM	MANAGEABLE

READ - THROUGH

The most severe risk to the thesis is regulatory stagnation in the Autonomy division. If Tesla's vision-only system fails to meet the statistical safety thresholds state regulators require for fully uncrewed operations, the Cybercab hardware becomes stranded capital, and the \$550 billion option value must be written down entirely. This risk interacts dangerously with the core Automotive division: if Auto cash flows keep compressing because of BYD's aggressive pricing, Tesla will lack the free cash flow to keep subsidizing the AI compute capex it needs. The Optimus valuation also relies heavily on unproven mechanical durability. The hardest problem in commercial robotics is not just artificial intelligence, but physical mean-time-between-failure (MTBF). If Optimus needs constant actuator replacement or maintenance in real-world industrial settings, the unit economics invert, destroying the Robot-as-a-Service margin profile.

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APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS						
	2023	2024	2025	2026 <i>E</i>	2027 <i>E</i>	2028 <i>E</i>
Net Sales	96,773	97,690	94,827	102,329	118,214	138,122
EBITDA	12,512	12,444	10,503	18,475	19,747	28,167
EBITDA margin	12.9%	12.7%	11.1%	18.1%	16.7%	20.4%
Depreciation	-3,621	-5,368	-6,148	-12,729	-9,966	-11,864
Operating Profit (EBIT)	8,891	7,076	4,355	5,746	9,781	16,303
EBIT margin	9.2%	7.2%	4.6%	5.6%	8.3%	11.8%
Net financial items	1,082	1,914	923	540	949	1,259
Pre-tax Profit	9,973	8,990	5,278	6,286	10,730	17,562
Net Earnings	14,976	7,153	3,855	5,622	9,940	16,269
PER SHARE						
EPS	4.7	2.2	1.2	1.7	3.1	5
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	45,123	51,507	40,643	47,391	54,748	63,968
Intangibles	362	1,226	135	146	168	197
Goodwill	253	244	257	257	257	257
Non-current assets	50,269	57,186	62,239	68,998	76,378	85,626
Inventories	13,626	12,017	12,392	13,098	15,131	17,679
Receivables	19,592	30,204	39,737	39,990	40,740	41,680
Cash & equivalents	16,398	16,139	16,513	17,499	20,216	23,621
Current assets	49,616	58,360	68,642	70,588	76,087	82,979
Total Assets	106,618	122,070	137,806	146,511	159,390	175,530
EQUITY & LIABILITIES						
Equity	63,609	73,680	82,865	88,487	98,427	114,696
Long-term debt	2,682	5,535	6,736	5,310	5,383	3,568
Short-term debt	1,975	2,343	1,640	5,310	5,383	3,568
Long-term liabilities	9,345	13,824	23,227	21,801	21,874	20,059
Current liabilities	28,748	28,821	31,714	36,223	39,089	40,775
Total liabilities & equity	106,618	122,070	137,806	146,511	159,390	175,530
CAPITAL STRUCTURE & RATIOS						
Net debt	-6,825	-2,516	-8,137	-6,879	-9,450	-16,484
Capital invested	51,868	65,419	74,728	81,608	88,977	98,212
Equity ratio	59.7%	60.4%	60.1%	60.4%	61.8%	65.3%
Gearing	-10.7%	-3.4%	-9.8%	-7.8%	-9.6%	-14.4%
Net debt / EBITDA	-0.5×	-0.2×	-0.8×	-0.4×	-0.5×	-0.6×
Current ratio	1.7	2	2.2	2	2	2

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
CF from operations	11,384	3,171	3,691	18,230	19,916	28,146
Operating cash flow	4,094	1,868	2,616	17,747	19,038	26,980
Change in working capital	7,474	9,298	6,312	121	-10	-13
INVESTING & FREE CASH						
Gross capex	12,797	12,285	11,201	19,488	17,345	21,112
Capex (ex. M&A)	-12,797	-12,285	-11,201	-19,488	-17,345	-21,112
Free Operating Cash Flow	-6,957	-8,791	-383	-1,741	1,692	5,868
Free cash flow to firm	-6,955	-8,791	-383	-1,741	1,692	5,868
FINANCING						
CF from financing	8,306	8,594	8,285	2,244	145	-3,629
Dividends paid	—	—	—	—	—	—
Net change in cash	6,893	-520	775	986	2,717	3,405

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	21,301	25,500	25,182	25,707	19,335	22,496	28,095	24,901
EBITDA	2,417	2,883	4,065	3,079	1,846	2,356	3,249	3,052
EBITDA margin	11.3%	11.3%	16.1%	12.0%	9.5%	10.5%	11.6%	12.3%
Comparable EBIT	1,171	1,605	2,717	1,583	399	923	1,624	1,409
EBIT margin	5.5%	6.3%	10.8%	6.2%	2.1%	4.1%	5.8%	5.7%
Net Earnings	1,405	1,416	2,183	2,332	420	1,190	1,389	856
EPS	0.4	0.4	0.7	0.7	0.1	0.4	0.4	0.3

CURRENT YEAR — QUARTERLY, USD MILLIONS				
	Q1/26	Q2/26 <i>E</i>	Q3/26 <i>E</i>	Q4/26 <i>E</i>
Net Sales	22,387	23,902	29,851	26,190
EBITDA	941	4,719	6,649	6,167
EBITDA margin	4.2%	19.7%	22.3%	23.5%
Comparable EBIT	941	1,125	1,980	1,700
EBIT margin	4.2%	4.7%	6.6%	6.5%
Net Earnings	491	1,622	2,144	1,364
EPS	0.2	0.5	0.7	0.4

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Current Share Price: USD 307.95	307.95	MARKET DATA	Cover, Page 6
EV/EBIT 2026E: 273.80x	273.80x	MODEL OUTPUT	Valuation Summary, Recommendation
FY2025 Segment Gross Profit	17,094 USDm	FINANCIAL SNAPSHOT	Core Analysis, Segment Breakdown
2028E Target EBIT	16,303 USDm	GENERATED ESTIMATE	Financial Bridge, Recommendation
Consensus 2028E EBITDA	28,167 USDm	CONSENSUS ESTIMATES	Sensitivity Matrix, Forward Bridge
Autonomy EV Allocation	550,632 USDm	COMPANY VALUE MAP	SOTP Breakdown, Core Analysis
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